

Subject Code	AF5520
Subject Title	Corporate Law
Credit Value	3
Level	5
Normal Duration	1-semester
Pre-requisite / Co-requisite/ Exclusion	None
Objectives	This subject focuses on business associations in the form of registered companies (Hong Kong incorporated companies and companies registered here as non-Hong Kong companies). This subject enables students to identify the legal aspects involved in company matters and the corporate governance system of Hong Kong companies, critically evaluate the rights and responsibilities of corporate officers, and develop a critical corporate law insight through the application of the laws and best practices in the corporate decision-making process and governance.
Intended Learning Outcomes	On successfully completing this subject, the students will be able to: (a) identify and compare the laws that govern different types of companies registered in Hong Kong, whether incorporated here or overseas; (MCG Outcome 3) (b) critically evaluate the rights and responsibilities of officers of the company (directors, managers, company secretary and auditor) and also of the shareholders; (c) effectively interpret and apply the governing laws and regulations on various means by which a company may raise capital through equity and/or debt finance; (d) apply the laws and best practices in the corporate decision-making process, critically evaluate the latest legal reforms in promoting better corporate governance, especially for listed companies; and (MCG Outcome 3) (e) compare and apply the procedures in the event of restructuring and winding up the solvent and insolvent companies; their implications on stakeholders and corporate governance. (MCG Outcome 3)
Subject Synopsis/ Indicative Syllabus	<u>Sources of company law and governance</u> The importance of legislation as a source of company law. The Companies Ordinance (Cap 622). Other notable related legislation. The role of subordinate legislation. The Listing Rules, the Code on Takeovers and Mergers and Share Buy-backs. Financial Services & Treasury Bureau. Official Receiver's Office, Companies Registry. The importance of case law, the constitution and contracts as a source of company law. Corporate governance codes and reports. International

	corporate governance principles. Corporate governance and unlisted companies. <u>Business structures</u> Sole proprietorships. Partnerships. Limited partnerships. Limited liability partnerships. Companies. Share capital. Non-Hong Kong companies. Small companies. Charitable institutions. Re-registration. <u>Incorporation and corporate personality</u> Promotion and pre-incorporation contracts. Incorporation of a registered company. Corporate personality. Salomon v A Salomon & Co Ltd. Consequences of corporate personality. Circumventing corporate personality via contract. Corporate liability. <u>Legally binding the company</u> How companies enter into contracts. Constitution of a company. Articles of association. Constitution as a contract. Agency and the authority of agents. Board authority. <u>Board of directors</u> The legal status of a director. Types of the director. Specific board roles. Appointment. Remuneration. Board structure and composition. Vacation of office. Removal. Disqualification. Disqualification orders. <u>Role of the board</u> General functions of the board. Managerial powers of the board. Rules relating to board meetings. Company secretary. <u>Directors' duties</u> General directors' duties. Remedies for breach of duties. Partial codification of directors' duties. Avoiding liability for breach of the general duties. Transactions requiring member approval. <u>Legal Differences, Globalization and Ethical Aspects of Company Regulation</u> Institutional differences between civil law and common law countries and how these may impinge on the rights and duties of investors and directors. Corporate governance models and trends in the world and Hong Kong, Multinational corporations as conveyors of globalization, the International regulatory framework of multinational corporations, and corporate social responsibility. <u>Formation and Constitution</u> Determinants of organizational form and the effect of incorporation. Types of company. Comparison of registered companies with other forms of business organization. Companies registered in Hong Kong as 'non-Hong Kong' companies. Corporate groups and associated companies. Formation Procedures, Contents and effect of Articles of Association. <u>Corporate Transactions</u> The capacity of companies and the concept of agency as applied to companies. Promotion & Pre-incorporation contracts, Lifting the
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	Corporate Veil, Protection of Outsiders, Maintenance of Capital: Buy Back, Capital Reduction & Financial Assistance. <u>Corporate Finance and Protection of Investors</u> Nature and types of shares. Methods of raising share capital. Flotation. Liabilities with respect to prospectuses. Allotment of shares. Underwriting and commission. Debt finance. Secured creditors. Creditors rights. Registration of charges. Priority of charges. Statutory devices for the protection of investors. <u>Dealings with Shares and Dividends</u> Share transfers and transmission. Mortgages of shares. Redemption and purchase of own shares. Financial assistance for the acquisition of shares. Variation of class rights. Disclosure of substantial shareholding. Declaration and payment of dividends. Capitalizing profits. Reserves. <u>Corporate Management</u> Appointment of directors. Removal, retirement and disqualification of directors. Authority and liabilities of directors and corporate officers. Duties of directors. Conflict of interests. Avoidance. Insider dealing. Appointment and functions of the company secretary. Appointment, powers and duties of auditors. Corporate liabilities. <u>Meetings and Majority Control</u> Conduct general meetings and meetings of directors. Majority control. Duties of controlling shareholders. Protection of minority shareholders. Shareholders remedies. <u>Restructuring, Receivership and Liquidation</u> Reconstructions. Amalgamation. Schemes of Arrangement. Take-overs. Receivership. Functions of receivers and receiver-managers. Compulsory winding up. Voluntary winding up. Order of application of assets of insolvent companies. Preferential creditors: avoidance of transactions. Fraudulent trading. Dissolution.		
Teaching/Learning Methodology	Lectures will emphasize the concepts and the key issues and seminars will provide a forum for discussing applications of the concepts and the key issues. Cases/problems will therefore be used extensively. In addition to the application of concepts, emphasis will be given to the identification of legal issues and the development of legal arguments. While the doctrine of precedent may be familiar to the students taking this programme (from their earlier law studies), its application is, very often, not appreciated, and students often have difficulty applying previous cases to the problems they are faced with. The cases/problems will also focus on the adequacy or otherwise of Hong Kong's existing regulatory regime, law reform, corporate governance and ethical issues. Comparisons will also be made with other jurisdictions.		
Assessment Methods in Alignment with	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)

Intended Learning Outcomes			a	b	c	d	e	
	Class Participation	5%	√	√	√	√	√	
	Class Exercises	15%	√	√	√	√	√	
	Group Project	20%	√	√	√	√	√	
	Test	10%	√	√	√	√		
	Final Examination	50%	√	√	√	√	√	
	Total	100%						
	Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes: <u>Weekly class exercises:</u> They train the students' ability to critically evaluate the ongoing legal reform in corporate governance. Students' ability to identify the ethical dimensions of corporate regulation will also be assessed in in-class exercises. <u>Test and Final Examination:</u> They will provide assurance of the above learning outcomes. <i>Note: To pass this subject, students are required to obtain Grade D or above in BOTH the Continuous Assessment and Examination components. In addition, the specific requirements on individual assessment components discussed above could be adjusted based on the pedagogical needs of subject lecturers.</i>							
Student Study Effort Expected	Class contact:							
	▪ 13 weeks of 3 hours seminar each					39 Hrs.		
	Other student study effort:							
	▪ Textbook reading					39 Hrs.		
	▪ Preparation for presentation & exams					39 Hrs.		
	Total student study effort					117 Hrs.		
Reading List and References	The HKCGI Chartered Governance Qualifying Programme study text. (Latest version) Lo, Stefan HC & Qu, Charles Z, Law of Companies in Hong Kong. Latest edition, Sweet & Maxwell. Stott, Vanessa, <i>Hong Kong Company Law</i> , latest edition, Pearson. Cheng, Po Wah, et al, <i>The Hong Kong Company Secretary's Handbook: Practice & Procedure</i> , latest edition, Longman.							

	<i>Butterworths Hong Kong Company Law Handbook</i>, Lexis Nexis, Butterworths, latest edition. Smart, P., et al, <i>Hong Kong Company Law Cases, Materials and Comments</i>, Butterworths, latest edition. <i>Companies Ordinance (CO)</i>, Chapter 622 of the Laws of Hong Kong. <i>Companies (Winding-Up & Miscellaneous Provisions) Ordinance (C(WUMP)O)</i>, Chapter 32 of the Laws of Hong Kong. <i>Securities and Futures Ordinance (SFO)</i>, Chapter 571 of the Laws of Hong Kong. Selected articles. Web sites: Bilingual Laws Information System (http://www.legislation.gov.hk) Companies Registry (http://www.cr.gov.hk) Department of Justice (http://www.doj.gov.hk) Securities and Futures Commission (http://www.sfc.hk) Hong Kong Exchange (http://www.hkex.com.hk) David Webb-Corporate Governance HK (http://www.webb-site.com)
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